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Case Number: NAIH-210-4/2023.

Subject: Decision establishing a violation

(NAIH-5095/2022.)

The National Authority for Data Protection and Freedom of Information (hereinafter: Authority) [...] (hereinafter: Applicant) has initiated a data protection authority procedure regarding the improper fulfillment of the Applicant's request for access to and deletion of personal data by [...] (hereinafter: Respondent) based on the application received by the Authority on February 4, 2022, with the following

DECISION

I. The Authority establishes at the request of the Applicant that the Respondent has violated Article 15(1) of Regulation (EU) 2016/679 on the protection of natural persons with regard to the processing of personal data and on the free movement of such data, as well as the repeal of Directive 95/46/EC (hereinafter: General Data Protection Regulation).

II. The Authority instructs the Respondent, at the request of the Applicant, to provide information regarding the matters specified in Article 15(1) of the General Data Protection Regulation to the Applicant and to prove its fulfillment to the Authority.

III. Due to the violation established in point I, the Authority imposes a data protection fine of 500,000 HUF, that is five hundred thousand forints on the Respondent.

IV. The Authority rejects the further part of the application.

* * *

The Respondent must provide the measures prescribed in point II in writing within 30 days from the finality of this decision, along with supporting evidence, to the Authority.

The data protection fine must be paid within 30 days from the finality of this decision to the Authority's centralized revenue collection account (10032000-01040425-00000000 Centralized Collection Account IBAN: HU83 1003 2000 0104 0425 0000 0000). When transferring the amount, reference must be made to the NAIH-210/2023. FINE number.

If the Respondent fails to comply with the obligation to pay the fine within the deadline, they are obliged to pay a late fee to the above account number. The amount of the late fee is the statutory interest, which corresponds to the central bank base rate valid on the first day of the calendar half-year affected by the delay.

In case of non-fulfillment of the prescribed obligation, the Authority will order the execution of the decision.

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There is no administrative remedy against the decision, but it can be challenged in an administrative lawsuit by filing a statement of claim addressed to the Metropolitan Court within 30 days from the notification. The statement of claim must be submitted electronically to the Authority, which will forward it to the court along with the case documents. A request for a hearing must be indicated in the statement of claim. For those who do not enjoy full personal exemption from fees, the administrative

lawsuit fee is HUF 30,000, and the case is subject to the payment of court fees. Legal representation is mandatory in proceedings before the Metropolitan Court.

JUSTIFICATION

I. Procedure

(1)

On February 4, 2022, the Applicant submitted a request to initiate a data protection authority procedure, registered under case number NAIH-5095-1/2022, to the Authority.

(2)

In its decision dated May 12, 2022, under case number NAIH-5095-2/2022, the Authority notified the Respondent of the initiation of the data protection authority procedure on February 5, 2022, and called for a statement to clarify the facts. In response to the Authority's decision, the Respondent replied in a letter registered on May 31, 2022, under case number NAIH-5095-4/2022.

(3)

After reviewing the Respondent's answers, further clarification of questions became necessary, so the Authority, in its decision dated July 5, 2022, under case number NAIH-5095-5/2022, again called upon the Respondent to provide a statement. The Respondent replied to the Authority's decision in a letter registered on July 22, 2022, under case number NAIH-5095-6/2022.

(4)

Based on the Respondent's answers, further clarification of questions became necessary, therefore the Authority, in its decision dated August 25, 2022, under case number NAIH-5095-7/2022, again called upon the Respondent to provide a statement. The Respondent replied to the Authority's decision in a letter registered on September 12, 2022, under case number NAIH-5095-10/2022.

(5)

Furthermore, in order to clarify the facts, the Authority, in its decision dated August 25, 2022, under case number NAIH-5095-8/2022, also called upon the Applicant to provide a statement. The Applicant responded to the Authority's decision in an electronic letter registered on September 7, 2022, under case number NAIH-5095-9/2022. However, considering that the response from the Applicant sent via simple email does not meet the appropriate form of communication that allows for client identification as stipulated by Act CL of 2016 on General Administrative Procedure (hereinafter: Ákr.) and Act CCXXII of 2015 on Electronic Administration and Trust Services (hereinafter: Eüsztv.), the Authority, in its letter dated September 13, 2022, under case number NAIH-5095-11/2022, called upon the Applicant to submit their statement of September 7 in accordance with the communication form prescribed by the Ákr. and Eüsztv. Based on this, the Applicant responded in the appropriate form in a letter registered on September 14, 2022, under case number NAIH-5095-12/2022.

(6)

Subsequently, the Authority, in its decision dated September 22, 2022, under case number NAIH-5095-13/2022, contacted the National Media and Infocommunications Authority (the

1 The form for initiating the administrative lawsuit is the NAIH_K01 form: NAIH_K01 form (2019.09.16.) The form can be filled out using the general form filling program (ÁNYK program). The form is available at the following link: <https://naih.hu/kozig-hatarozat-birosagi-felulvizsgalata>

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hereinafter: NMHH), to send a copy of the decision made in the investigation conducted by the Media and Communications Commissioner under case number BH/994/2022 in response to the Applicant's complaint against the Respondent. The NMHH responded in its letter dated September 28, 2022, with case number NAIH-5095-15/2022.

(7)

Furthermore, in its decision dated September 22, 2022, with case number NAIH-5095-14/2022, the Authority called upon the Respondent to provide a statement again in order to clarify the facts of the

case. The Respondent replied to the Authority in its letter dated October 10, 2022, with case number NAIH-5095-16/2022.

(8)

Subsequently, based on the evidence available to it, the Authority informed the Respondent in its decision dated November 30, 2022, with case number NAIH-5095-17/2022, that the evidentiary procedure in the data protection authority proceedings had been completed and drew attention to the fact that the evidence uncovered during the clarification of the facts could be accessed in accordance with the rules of document inspection, and further evidentiary motions could be submitted. The Authority provided the same information to the Applicant in its decision dated November 30, 2022, with case number NAIH-5095-18/2022.

(9)

The Respondent submitted a request for document inspection to the Authority in its letter dated December 15, 2022, with case number NAIH-5095-19/2022.

(10) In response to the Respondent's request, the Authority granted the Respondent's request for document inspection in its decision dated December 20, 2022, with case number NAIH-5095-20/2022, by specifying two optional dates.

(11) The Respondent scheduled an appointment to exercise its right to inspect documents in its letter dated January 3, 2023, with case number NAIH-210-1/2023.

(12) Accordingly, the Respondent's exercise of the right to inspect documents took place on January 10, 2023, at the Authority's headquarters, and a record was made of this procedural act under case number NAIH-210-2/2023.

(13) Following the review of the documents generated in the case, the Respondent made a statement in its letter dated January 24, 2023, with case number NAIH-210-3/2023, and did not submit any further evidentiary motions.

(14) The Applicant also did not exercise its right to inspect documents and did not submit any further evidentiary motions.

(15) Additionally, on May 9, 2022, an employee of the Authority prepared a note under case number NAIH-5095-3/2022 stating that, according to Section 71 (1) of Act CXII of 2011 on the Right to Informational Self-Determination and Freedom of Information (hereinafter: Intotv.), the entire documentation of the related investigation procedure NAIH-746/2022 will be used in the decision-making process in the present case.

II. Clarification of Facts

(16) In its application, the Applicant stated that on October 9, 2018, in an electronic mail – along with a fault report – it requested the Respondent to delete its phone number ([...]) and email address ([...]), and that according to the electronic mail, it had only consented to the processing of its email address and phone number on a case-by-case basis, specifically in the event that these were provided to the Respondent in relation to a specific matter (for example, a fault report), solely until the matter was closed. After the Applicant did not receive a response regarding the part of its electronic mail concerning the processing of personal data sent on October 9, 2018, the Applicant...

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Based on the electronic letter sent on October 26, the Applicant requested information from the Respondent regarding the processing of their personal data, in addition to the previous complaint.

**** (17) **** In response to the electronic letter sent by the Applicant on October 26, 2018, the Respondent informed the Applicant in a letter dated November 15, 2018, that it processes the Applicant's personal data based on the provisions outlined in point 3 of Annex 7 of the General Terms and Conditions for Residential Customers (hereinafter: GTC), which table includes the legal basis, purpose, and duration of the data processing. According to the letter, the Respondent has the option to delete the personal data processed based on the Applicant's consent, such as consent for direct marketing and directory

services. The Respondent's letter states that it is not able to delete the personal data processed on a legal basis other than this.

****(18)**** The Applicant contested the Respondent's response; therefore, as they were also dissatisfied with the service provided by the Respondent, they turned to the Conciliation Board operated by the Pest County and Érd County Municipality Chamber of Commerce and Industry (hereinafter: Conciliation Board) to resolve the dispute.

****(19)**** Considering that the proceedings of the Conciliation Board did not yield results, the Applicant requested the Authority to compel the Respondent to provide appropriate information regarding the personal data recorded about the Applicant and the information related to the data processing. The Applicant further requested that the Authority instruct the Respondent to handle the Applicant's phone number and email address in a limited manner, solely for the purposes of electronic billing and communication related to troubleshooting, while deleting these personal data from its other records.

****(20)**** In its letter with reference number NAIH-5095-4/2022, the Respondent stated that it provides fixed-line (landline) telephone, internet access, and broadcasting (television) services to the Applicant, and in connection with this service provision, the Respondent processes the following personal data: the subscriber's name, residence, place of stay, billing address of the subscriber, if necessary, bank account number, the subscriber's birth name, place and date of birth, mother's birth name, contact details suitable for communication and notification (postal address, phone number, email address); data related to the subscriber's access point; the requested subscriber service, the chosen package(s), additional service package(s), options; the chosen payment method; the duration of the subscriber contract; the place and date of the request; other requests of the applicant related to the establishment; the type and number of identification documents suitable for identification; the customer identifier (MT ID) assigned to the subscriber by the service provider and the subscriber's account number existing with the provider.

****(21)**** According to its statement, the Respondent processes these personal data for the purpose of establishing, defining, and modifying the contract for electronic communications services. The legal basis for data processing is Article 6(1)(b) of the General Data Protection Regulation, taking into account Section 154(2) of Act C of 2003 on Electronic Communications (hereinafter: Eht.) and Section 11 of Government Decree 22/2020 (December 21) on the detailed rules of electronic communications subscriber contracts (hereinafter: ESzr.).

****(22)**** According to its statement, the Respondent also processes the above-listed data for the purpose of fulfilling the contract for electronic communications services, providing the services, monitoring the fulfillment of the contract, and billing for fees arising from the contract, based on Article 6(1)(b) of the General Data Protection Regulation, also considering Section 157(2) of the Eht. and Section 11 of the ESzr. The duration of the data processing described above extends until the expiration of claims arising from the subscriber contract according to Section 143(2) of the Eht., but no later than 1 year + 30 days following the termination of the contract.

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(23) According to its statement, the Respondent also processes the personal data detailed above for the purpose of fulfilling accounting and tax obligations, with regard to the retention period in connection with Section 169 (2) of Act C of 2000 on Accounting (hereinafter: Accounting Act), which is 8 years + 30 days from the acceptance of the annual report for the year of termination of the contract.

(24) The Respondent, according to its statement, provided detailed information about all these data processing activities in rows 1, 2, and 3 of the table in Section 3 of Annex 5 of the General Terms and Conditions (GTC), which is also part of the Respondent's subscriber contract. (Before June 30, 2021, the relevant information was included in Annex 7 of the GTC.)

(25) The Respondent sent a copy of the Applicant's individual subscriber contract to the Authority, which also contains the personal data recorded in the contract.

(26) In addition to the above, the Respondent processes the Applicant's personal data for the purpose

of fulfilling data retention obligations related to law enforcement, national security, and defense (as stated in row 9 of the table in Section 3 of Annex 5 of the GTC), as well as for complaint handling (as stated in row 17 of the table in Section 3 of Annex 5 of the GTC).

(27) According to the Respondent's statement, in an electronic letter dated October 9, 2018, the Applicant requested that the Respondent delete their recorded data, except for the "minimum necessary data for service provision (name, address)." The Applicant also added that their other personal data (such as email address, phone number) may be processed by the Respondent "on a case-by-case basis" after providing them in connection with a specific matter (e.g., a fault report). According to point ab) of Section 11 of the Electronic Communications Act, the individual subscriber contract must mandatorily include the contact details provided by the subscriber for communication and notification. The individual subscriber contract in effect at the time of the application, which was sent by the Respondent to the Authority, contained the Applicant's phone number as a contact detail. The Respondent processes this data for the above purposes and legal basis in connection with the provision of services as part of the contract.

(28) According to the Respondent's statement, considering that the subscriber contract is also considered an accounting document, the Respondent is obliged to retain the data that is part of the mandatory section of the contract based on Section 169 (2) of the Accounting Act. Furthermore, in relation to the services provided to the Applicant, associated fault reports, billing disputes, and complaints, as well as various administrative proceedings initiated by the Applicant, there have been ongoing and repeated "cases" during the time of the aforementioned provision and since then, in which the Applicant used the aforementioned email address for communication. Since September 19, 2019, the Applicant has specifically requested the electronic sending of invoice notifications to the aforementioned email address. According to the Respondent's statement, the Applicant also indicated in the proceedings before the Media and Communications Authority that they no longer request the deletion of the aforementioned contact details.

(29) According to the Respondent's statement, in response to the Applicant's electronic letter dated October 26, 2018, the Respondent, in its letter dated November 15, 2018, with reference number 1-102440080906 – which was also provided to the Authority – directed the Applicant to the data protection information detailed by purpose in their then-effective subscriber contract (within the data protection annex of the GTC), and subsequently submitted the relevant details of the information in the proceedings before the Media and Communications Authority. Considering that the Applicant demonstrated thorough and extensive legal knowledge in both the data protection-related and numerous other complaints and claims – citing specific legal provisions and relevant provisions of the Respondent's GTC in an understandable manner in their documents – the Respondent believes that the reference to the GTC is appropriate.

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The information provided did not prevent the Applicant from actually becoming aware of the relevant information, nor was it unsuitable for placing the Applicant in an adequately informed position regarding the processing of their personal data.

(30) According to the Respondent's statement, requests related to the exercise of data subject rights often arrive at the Respondent's "Customer Service Directorate" through the "Complaint Handling Group" in connection with other non-data protection-related complaints. The staff of the "Complaint Handling Group" follow a process whereby any complaint or inquiry that contains a data protection-related request is forwarded to the "Special Cases Group," which operates separately within the "Customer Service Directorate." Colleagues working in the "Special Cases Group," who have greater experience in handling data protection matters, manage such requests, respond to inquiries from data subjects, and in cases of legal interpretation or qualification uncertainty, involve the appropriate staff from the "Legal Directorate," and inform the Respondent's data protection officer as necessary. The Respondent provided an excerpt of the Administrative Handbook ("Magic Book") containing the procedural rules to be followed in the exercise of data subject rights, which is available to the staff working in the "Customer Service" on the Respondent's intranet.

(31) The Respondent further drew the Authority's attention to the fact that the Applicant primarily had complaints, claims, and disputes against the Respondent related to the telecommunications services used, troubleshooting, and billing, dating back at least to 2018. In connection with these, the Applicant initiated proceedings with various bodies, such as the Media and Communications Authority or the consumer protection authority, where the central issues were not data protection-related. The Pest County Government Office found the Respondent at fault regarding the Applicant's complaints and imposed sanctions against it. In the context of these complaints and proceedings, the Applicant requested, somewhat incidentally compared to other complex billing and contractual issues, the deletion of certain personal data and "case-specific limited processing," and subsequently information regarding the processing of their personal data. The Respondent recognized the nature of these requests, which partially changed over time and were somewhat ambiguous, as related to the exercise of data subject rights and responded accordingly. These responses were provided in the context of other complaint and dispute resolution proceedings, in such a way that while expressing a position regarding the services, troubleshooting, and billing, the provision of data protection-related information received relatively less emphasis and space due to the dynamics of the communication, consistent with how the Applicant also treated these aspects as less prominent and somewhat ancillary in their various inquiries. This is further supported by the fact that in the deletion request, the Applicant requested case-specific handling of the relevant contact data, later specifically provided the affected email address as an electronic billing address, and subsequently as a contractual contact address, and also used this email address in connection with various complaints and proceedings. Finally, the Applicant explicitly indicated that they would refrain from requesting the deletion of the relevant contact data. During the proceedings initiated against the Respondent, the Applicant submitted their data protection-related requests to support their other service-related complaints, subordinating them to these goals.

(32) In its letter with reference number NAIH-5095-6/2022, the Respondent stated that it has been processing the Applicant's email address for electronic billing purposes since September 19, 2019, and as a primary contact data since January 23, 2020, in its customer record system. Since the Applicant had previously used the email address for communication with the Respondent—such as in the complaint letter sent to the Respondent on October 9, 2018, which was also provided to the Authority—the Respondent had also previously used it to deliver communications addressed to the Applicant regarding their complaints and services.

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(33) To substantiate that the applicant has specifically requested the electronic sending of invoice notifications to the [...] email address since September 19, 2019, the Respondent sent the Applicant's declaration regarding the request for electronic invoicing, dated September 19, 2019.

(34) The Respondent also sent a copy of a report extracted from its customer registration system, which shows that the specified email address was recorded as the primary contact address on January 23, 2020.

(35) According to the Respondent's statement, the Applicant is currently requesting and receiving their invoices electronically; the Respondent is not aware of any complaints made by the Applicant in this regard.

(36) The Respondent further sent the Media and Communications Authority a call for a statement addressed to the Respondent, which, together with the call, includes the statement made by the Applicant in the proceedings, indicating that they refrain from requesting the deletion of the [...] email address and [...] phone number: "In light of all this – while I still consider the service provider's data processing unlawful – I no longer request the immediate deletion of the contentious data, only the creation of the possibility that, in the event of a future request in this regard, the service provider shall comply without delay [...]".

(37) The Respondent attached to its statement with file number NAIH-5095-10/2022 a copy of the screenshots from its electronic customer registration system, which display the personal data of the

Applicant managed in the system. The Respondent manages the Applicant's registered personal data – in accordance with the statement made under file number NAIH-5095-4/2022 – for the following purposes and legal grounds: to establish a contract for electronic communications services, to define and modify its content, to monitor the performance of the contract for electronic communications services, and for the billing of fees arising from the contract for electronic communications services, based on the legal ground specified in Article 6(1)(b) of the General Data Protection Regulation, taking into account Section 154(2) of the Electronic Communications Act, Section 157(2) of the Electronic Communications Act, and Section 11 of the Electronic Communications Regulation. To support the referenced legal ground, the Respondent attached a copy of the existing individual subscriber contract between the Applicant and the Respondent.

(38) The Respondent attached a complete copy of its electronic records concerning the Applicant to its letter with file number NAIH-5095-16/2022 to demonstrate which personal data of the Applicant it is currently processing, for what purposes, and on what legal ground(s) regulated in Article 6(1) of the General Data Protection Regulation.

(39) The Respondent also specified the purposes of data processing and their necessity.

(40) Based on this, regarding the necessity of using the Applicant's personal data for the purpose of contract performance, the Respondent states that it provides the Applicant with fixed (landline) telephone, internet access, and broadcasting (television) services. In this context, the Respondent is burdened with notification obligations arising from such a contract – for example, concerning the limitation, termination, suspension, faults, and their rectification of the service – which it can fulfill using the aforementioned contact data. The Respondent referred to the notification obligations prescribed for it in Sections 17 and 22 of the Electronic Communications Regulation (24, 72 hours), which, in case of failure to comply, imposes significant penalty payment obligations on the Respondent as stipulated in Section 23 of the same regulation. The Respondent fulfills its obligation to send electronic invoices using the Applicant's email address. The fact that Section 11 of the Electronic Communications Regulation defines contact and notification data as a mandatory part of the individual subscriber contract supports that the data in question...

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The processing is necessary for the performance of the contract and the provision of the telecommunications service. In relation to the performance of the individual subscriber contract, both the subscribers and the NMHH as the supervisory authority expect the Applicant to comply with the referenced notification deadlines, which would not be possible without the relevant contact data. The Applicant's expectation of this nature is reflected, among other things, in a statement made by the Respondent in an email message provided to the Authority: "In this regard, I reiterate my phone number: [...]. I am practically continuously reachable at this number, and we can coordinate the time for on-site fault repair – as usual – during your phone call."

(41) Regarding the fulfillment of accounting obligations in connection with data processing purposes, the Respondent stated that the personal data in question constitutes part of the individual subscriber contract according to Section 11 of the ESzr. The individual subscriber contract is an accounting document as defined in Section 166 (1) of the Accounting Act, which the Respondent must retain according to Section 169 (2). The Respondent must retain the relevant data as part of the accounting document for the purpose of fulfilling the referenced obligation.

(42) In connection with the data retention obligation as a data processing purpose, regarding the necessity of using the Applicant's personal data, the Respondent referred to Section 159/A (1) a) of the Eht., according to which the Respondent, as an electronic communications service provider, is obliged to retain the personal data recorded in the subscriber's individual subscriber contract. The Respondent must retain the relevant personal data for the purpose of fulfilling this obligation and must provide data as required by law based on a request from an authorized body. Without the processing of the relevant data, the Respondent would not be able to comply with its data retention and data provision obligations.

(43) In connection with the data processing purpose of complaint handling, regarding the necessity of using the Applicant's personal data, the Respondent stated that it handles the Applicant's personal data in accordance with Section 138 and Sections 140-141 of the Eht., as well as Sections 17/A-17/C of Act CLV of 1997 on consumer protection, for the purpose of handling the Applicant's complaints, including correspondence and communication related to the resolution of complaints and fault reports. Certain short-term notification obligations arising from legislation (for example, 24 or 72 hours) that burden the Respondent must necessarily be fulfilled electronically, using the email address and phone number as contact data. Such obligations are imposed on the Respondent, for example, by Sections 17 and 22 of the ESzr. Without the processing of the data, effective and lawful complaint handling would not be possible, and the Respondent would not be able to fulfill its obligations in this regard.

(44) According to the Respondent's statement, the data processing concerning the Applicant, which is currently ongoing, takes place within the framework of the Respondent's general data processing practice, which is also reflected in the table in point 3 of Annex 5 of the Respondent's General Terms and Conditions (GTC), specifically in rows 1, 2, 5, 9, and 17. At the same time, regarding the handling of the Applicant's contact email address and phone number by the Respondent in the present case, attention must also be paid to the unique, atypical circumstances (such as the complex, but primarily non-data protection-related nature of the complaints made by the Applicant and related authority procedures).

(45) According to the Respondent's statement, regarding the contact and availability data that must be displayed mandatorily in electronic telecommunications subscriber contracts according to Section 11 a) ab) of the ESzt., the Respondent considers the legal basis for data processing to be Article 6 (1) b) of the General Data Protection Regulation. Point h) of Section 2.1.1 of the Core Part of the Respondent's GTC lists the contact details provided by the subscriber/applicant for communication and notification as necessary data for the conclusion of the subscriber contract in accordance with Section 11 of the ESzr.

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(46) The Applicant further refers to the opinion No. 6/2014 of the 29th Working Party on the concept of legitimate interests of the data controller under Article 7 of Directive 95/46/EC (hereinafter: Opinion), which, although primarily analyzing the legal basis of the legitimate interests of the data controller, also made general statements regarding other legal bases, such as contractual ones, which the European Data Protection Board referred to in the context of the interpretation of the General Data Protection Regulation following the repeal of Directive 95/46/EC. According to point III.2.2.i) of the Opinion, "The processing of the data subject's basic data, such as their name and address, as well as references to existing contractual obligations or the sending of official reminders, should still be considered as part of the data processing necessary for the performance of the contract." The Applicant believes that the European Data Protection Board makes a similar statement in its guideline No. 2/2019 on the processing of personal data under Article 6(1)(b) of the General Data Protection Regulation in the context of online services provided to data subjects, when it states: "Certain steps, however, may be reasonably foreseeable and necessary within the framework of the usual contractual relationship, such as sending official reminders about pending payments, as well as remedying errors or delays in the performance of the contract. Article 6(1)(b) may apply to the processing of personal data that is necessary in relation to such steps."

(47) The Applicant also referred to point I.1) paragraph 5 of the Authority's position issued under NAIH/2018/6123/2/J. regarding the opinion on the government proposal concerning the amendment of certain laws related to the European Union's data protection reform, which highlighted that the data processing obligations of telecommunications service providers under the Electronic Communications Act (Eht.) (Sections 157-158) do not fall within the scope of so-called mandatory data processing. The Applicant's subscribers may change and update their contact details. Subscribers have an obligation under the subscriber contract to notify the Applicant of any changes to their data within 8 days. After proper identification, subscribers may request the modification of their contact details through the Applicant's customer service contacts, by phone, in person, or in writing, by post, which the Applicant

will fulfill based on the statement of the identified subscriber. In response to the Applicant's request made in the electronic letter dated October 9, 2018, to consent on a case-by-case basis to the processing of their email address and phone number (for example, until the closure of the issue's error report), the Applicant complied as follows. The Applicant primarily referred to the provisions of the individual subscriber contract concluded with the Applicant dated April 13, 2017, which state: "I have provided the contact details for the purpose of being notified on these details regarding questions related to the performance of the subscriber contract, and I accept this method of notification. I accept that regarding questions related to the performance of this subscriber contract, the Service Provider may inform me via email or other electronic communication in accordance with Section 144(2)(b) and (c) of the Eht."

(48) The application for the conclusion of a subscriber contract for home services, also dated April 13, 2017, which was attached to the Applicant's response, further states: "I consent to the [...] sending the invoice generated during the purchase to me in electronic form, which I can view under the documents menu on our [...] Online Customer Service page. I request notification of this via SMS and/or email."

(49) Based on the email message sent by the Applicant to the Authority dated November 24, 2020, it is also noted: "Along with this, I reiterate my phone number: [...]. I can be reached at this number practically continuously, and we can coordinate the time for on-site error correction during your phone call as usual."

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(50) According to the Applicant's statement, all declarations and documents referred to by him, as well as the history of the complaints submitted by the Applicant to the Respondent, support the assertion that the Applicant primarily had complaints and disputes with the Respondent regarding the telecommunications services used, fault rectification, and billing, as referenced by the Respondent in its letter registered under number NAIH-5095-4/2022. In connection with these, the Applicant initiated proceedings with various authorities, such as the Media and Communications Commissioner or the consumer protection authority, where the central issues were not related to data protection. Within the framework of these complaints and proceedings, the Applicant, in a somewhat ancillary manner compared to other complex billing and contractual issues, requested the deletion of his contact details or their "case-by-case, limited processing." However, subsequently, he repeatedly made statements modifying his request for deletion or limitation, contradicting them, and provided his contact details multiple times, continuously using them for purposes that naturally arose from the relationship between the Applicant and the Respondent, such as: contract performance, complaint handling, fault rectification, as well as those for which the Respondent is bound by statutory and contractual obligations. The Respondent noticed the nature of the requests, which were partly changing over time and partly ambiguous, aimed at the exercise of rights by the parties, and responded to them as detailed in previous submissions. These responses were provided in the context of other complaint and legal dispute proceedings, in such a way that while expressing positions related to services, fault rectification, and billing, the provision of data protection-related information received relatively less space and emphasis due to the dynamics of communication, in accordance with how the Applicant also handled them in various inquiries.

(51) According to the Respondent's statement, based on the data recorded in its records, the Applicant did not change his statements regarding the possibility of being contacted by the Respondent, nor did he unsubscribe from the list of recipients of direct marketing messages, which is why he could receive messages with direct marketing content via SMS and email, as well as payment reminders via SMS. Nevertheless, considering the current proceedings – in which the question of consents for direct marketing was emphasized among the questions subsequently raised by the Authority, although it had not been previously mentioned – on September 28, 2022, the Applicant set all his direct marketing statements to negative in all respects with the Respondent.

(52) The Respondent also attached several subscriber contracts and declarations (dated April 13, 2017, September 3, 2020, August 30, 2021, August 30, 2022) in the letter with case number NAIH-5095-16/2022, which were in the name of the Applicant, according to which the Applicant

consented to the processing of his personal data – such as his email address and phone number – for direct business acquisition purposes. According to the subscriber contract dated April 13, 2017, the Applicant did not consent to the publication of his personal data in the directory and the telephone book, and in this regard, requested the confidentiality of his data.

(53) In his letter with case number NAIH-5095-12/2022, the Applicant substantiated with documents that the Respondent sent marketing inquiries via email and payment reminders via SMS during the time of the submission of the data protection authority procedure, as well as during the proceedings (for example: July 7, 2022: "This summer, you will find a new experience every day [...]" subject of a promotional SMS; August 1, 2022: "Renew your home services!" subject of a promotional SMS; August 12, 2022: "A dream trip worth 1 million HUF? Play with us and win the grand prize, or other valuable items (projector, scooter, smartwatch, speaker) or experiences (hot air balloon, wellness weekend, cooking experience, etc.)!" subject of a promotional SMS; payment reminders received via SMS on September 4, 2018, May 27, 2019, and October 30, 2020).

(54) According to the Applicant's statement, the voluntarily provided contact details, namely the [...] email address and the [...] phone number, were not only used for communication by the Respondent. Therefore, the Applicant made a provision for these data to be deleted; however, his statement

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the Respondent has not actually complied with this provision, as the Applicant continuously received emails and SMS messages. Later – in order to facilitate contact due to frequent errors – the Applicant voluntarily consented to the limited processing of data: that is, only in the case of a specific matter (for example, when the Applicant submits a fault report), in order to ensure smoother handling of the matter, the Respondent may only process the provided data until the case is closed (for example, the Respondent's employee may contact the Applicant by phone). According to the Applicant, these data could only have been processed for the necessary duration and only in relation to the specific matter. However, the deletion of the phone number and email address did not occur either earlier (when the Respondent did not have such limited authorization) or later, after the closure of individual tickets, in any way; the Respondent never confirmed that the data deletion had taken place (in fact, indirectly – through the continuously arriving unsolicited emails and SMS messages – it proved the opposite). According to the Applicant's statement, even later, when switching to electronic invoicing, they consented to the use of the [...] email address – for the duration of the service. This provision is still in effect. And although they did not give specific consent for the continuous use of the phone number, they later accepted that the Respondent would also keep a record of it. The Applicant maintains their consent for the registration of both data with the restriction that the Respondent may only keep the phone number and email address for limited purposes and for a limited time. Specifically, until they make a statement requesting that this data be deleted (for example, if electronic invoicing ceases).

(55) Based on all of this, the Applicant does not request the deletion of their phone number and email address.

(56) The NMHH responded to the Authority's inquiry in its letter with reference number NAIH-5095-15/2022, stating that based on the Applicant's complaint, a conciliation procedure was initiated under number BH/994/2022, in which no investigation was conducted, nor was a decision made to conclude the investigation. The conciliation procedure was concluded with the sending of an informational document dated February 14, 2022, to the Applicant, which document was sent by the NMHH to the Authority. In this document, the Applicant received detailed information about the content of the Respondent's response to the inquiry from the NMHH Media and Communications Commissioner, essential legal provisions regarding the procedure of the Media and Communications Commissioner, and detailed conditions for possible legal remedies.

III. Applicable Legal Provisions

(57) According to Article 2(1) of the General Data Protection Regulation, the General Data Protection Regulation must be applied to the data processing in this case.

(58) According to Section 2(2) of the Infotv., the General Data Protection Regulation must be applied

with the supplements specified therein.

(59) According to Section 60(1) of the Infotv., in order to ensure the enforcement of the right to the protection of personal data, the Authority shall initiate a data protection authority procedure upon request. The rules of the Administrative Procedure Act (Ákr.) shall apply to the data protection authority procedure with the supplements defined in the Infotv. and the deviations according to the General Data Protection Regulation.

(60) According to Section 60(2) of the Infotv.: "A request for the initiation of a data protection authority procedure may be submitted in the cases specified in Article 77(1) of the General Data Protection Regulation, as well as in point b) of Section 22."

(61) According to Article 77(1) of the General Data Protection Regulation: "Without prejudice to any other administrative or judicial remedies, every data subject shall have the right to lodge a complaint with a supervisory authority – in particular in the Member State of their habitual residence, the...

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the workplace or the place of the alleged infringement in the Member State – if, in the opinion of the data subject, the processing of personal data concerning them violates this regulation."

(62) According to Article 4(1) of the General Data Protection Regulation: "personal data": any information relating to an identified or identifiable natural person ("data subject"); an identifiable natural person is one who can be identified, directly or indirectly, particularly by reference to an identifier such as a name, an identification number, location data, an online identifier, or to one or more factors specific to the physical, physiological, genetic, mental, economic, cultural, or social identity of that natural person."

(63) According to Article 4(2) of the General Data Protection Regulation: "processing": any operation or set of operations which is performed on personal data or on sets of personal data, whether or not by automated means, such as collection, recording, organization, structuring, storage, adaptation or alteration, retrieval, consultation, use, disclosure by transmission, dissemination or otherwise making available, alignment or combination, restriction, erasure, or destruction."

(64) According to Article 4(7) of the General Data Protection Regulation: "controller": the natural or legal person, public authority, agency, or any other body which, alone or jointly with others, determines the purposes and means of the processing of personal data; where the purposes and means of such processing are determined by Union or Member State law, the controller or the specific criteria for the designation of the controller may also be provided for by Union or Member State law."

(65) According to Article 6(1)(a) and (f) of the General Data Protection Regulation: "The processing of personal data shall be lawful only if and to the extent that at least one of the following applies:

a) the data subject has given consent to the processing of their personal data for one or more specific purposes;

[...]

f) processing is necessary for the purposes of the legitimate interests pursued by the controller or by a third party, except where such interests are overridden by the interests or fundamental rights and freedoms of the data subject which require protection of personal data, in particular if the data subject is a child.

The first subparagraph (f) shall not apply to processing carried out by public authorities in the performance of their tasks."

(66) According to Article 7 of the General Data Protection Regulation: "(1) If the processing is based on consent, the controller shall be able to demonstrate that the data subject has given consent to the processing of their personal data.

(2) If the data subject gives consent in a written declaration which also relates to other matters, the request for consent shall be presented in a manner which is clearly distinguishable from those other matters, in an intelligible and easily accessible form, using clear and plain language. Any part of such a declaration that constitutes a breach of this regulation shall not be binding.

(3) The data subject shall have the right to withdraw their consent at any time. The withdrawal of consent shall not affect the lawfulness of processing based on consent before its withdrawal. The data subject shall be informed of this right before giving consent. The withdrawal of consent shall be as easy to execute as the giving of consent.

(4) When determining whether consent is freely given, account shall be taken, in the greatest possible extent, of whether, inter alia, the performance of a contract – including the provision of a service – is conditional on the data subject's consent to the processing of personal data which is not necessary for the performance of that contract."

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(67) According to Article 12 (1)-(6) of the General Data Protection Regulation: "(1) The data controller shall take appropriate measures to provide the data subject with all information regarding the processing of personal data referred to in Articles 13 and 14, and all information pursuant to Articles 15–22 and 34, in a concise, transparent, intelligible, and easily accessible form, using clear and plain language, especially in relation to any information addressed to children. The information shall be provided in writing or by other means – including, where appropriate, by electronic means. Upon request of the data subject, oral information may also be provided, provided that the identity of the data subject has been verified by other means.

(2) The data controller shall facilitate the exercise of the rights of the data subject as set out in Articles 15–22. In the cases referred to in Article 11 (2), the data controller shall not refuse to comply with a request from the data subject to exercise their rights under Articles 15–22, unless it demonstrates that it is not in a position to identify the data subject.

(3) The data controller shall inform the data subject of the measures taken in response to a request under Articles 15–22 without undue delay and in any event within one month of the receipt of the request. If necessary, taking into account the complexity of the request and the number of requests, this period may be extended by a further two months. The data controller shall inform the data subject of any extension of the period, along with the reasons for the delay, within one month of the receipt of the request. If the data subject has submitted the request by electronic means, the information shall be provided by electronic means where possible, unless the data subject requests otherwise.

(4) If the data controller does not take action on the request of the data subject, it shall inform the data subject without undue delay and at the latest within one month of the receipt of the request of the reasons for not taking action, as well as the fact that the data subject has the right to lodge a complaint with a supervisory authority and to seek judicial remedy.

(5) The information referred to in Articles 13 and 14, and the information and actions pursuant to Articles 15–22 and 34 shall be provided free of charge. If the request from the data subject is manifestly unfounded or excessive, in particular because of its repetitive nature, the data controller may charge a reasonable fee for the administrative costs incurred in providing the requested information or taking the requested action, or refuse to act on the request. The burden of demonstrating that the request is manifestly unfounded or excessive shall lie with the data controller.

(6) Without prejudice to Article 11, where the data controller has reasonable doubts concerning the identity of the natural person making the request under Articles 15–21, it may request additional information necessary to confirm the identity of the data subject."

(68) According to Article 15 of the General Data Protection Regulation: "(1) The data subject has the right to obtain from the data controller confirmation as to whether or not personal data concerning them are being processed, and, if that is the case, access to the personal data and the following information:

a) the purposes of the processing;

b) the categories of personal data concerned;

c) the recipients or categories of recipients to whom the personal data have been or will be disclosed, including particularly third country recipients and international organizations;

d) where applicable, the envisaged period for which the personal data will be stored, or, if that is not possible, the criteria used to determine that period;

e) the existence of the right of the data subject to request from the data controller rectification, erasure, or restriction of processing of personal data concerning them, and to object to such processing;

- f) the right to lodge a complaint with a supervisory authority;
- g) where the personal data are not collected from the data subject, any available information as to their source;

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h) the fact of automated decision-making referred to in Article 22(1) and (4), including profiling, as well as understandable information regarding the logic involved and the significance of such data processing for the data subject, as well as the expected consequences for the data subject.

(2) If personal data is transferred to a third country or an international organization, the data subject has the right to be informed about the appropriate safeguards regarding the transfer in accordance with Article 46.

(3) The data controller shall provide a copy of the personal data undergoing processing to the data subject. For any additional copies requested by the data subject, the data controller may charge a reasonable fee based on administrative costs. If the request is submitted electronically by the data subject, the information shall be provided in a commonly used electronic format, unless the data subject requests otherwise.

(4) The right to request a copy mentioned in paragraph (3) shall not adversely affect the rights and freedoms of others.

(69) According to Article 17(1)(b) and (c) of the General Data Protection Regulation: “(1) The data subject has the right to obtain from the data controller the erasure of personal data concerning them without undue delay, and the data controller shall be obliged to erase personal data concerning the data subject without undue delay if one of the following grounds applies:

[...]

b) the data subject withdraws consent on which the processing is based according to Article 6(1)(a) or Article 9(2)(a), and there is no other legal ground for the processing;

c) the data subject objects to the processing pursuant to Article 21(1), and there are no overriding legitimate grounds for the processing, or the data subject objects to the processing pursuant to Article 21(2);

[...]

(2) If the data controller has made the personal data public and is obliged to erase it under paragraph (1), it shall take reasonable steps, taking into account available technology and the cost of implementation, to inform data controllers that are processing the data that the data subject has requested the deletion of links to, or copies of, the personal data in question.

(3) Paragraphs (1) and (2) shall not apply to the extent that processing is necessary:

a) for exercising the right of freedom of expression and information;

b) for compliance with a legal obligation to which the data controller is subject, or for the performance of a task carried out in the public interest or in the exercise of official authority vested in the data controller;

c) for reasons of public interest in the area of public health in accordance with Article 9(2)(h) and (i) and Article 9(3);

d) for archiving purposes in the public interest, scientific or historical research purposes, or statistical purposes in accordance with Article 89(1), insofar as the right mentioned in paragraph (1) is likely to render impossible or seriously impair the achievement of the objectives of that processing; or

e) for the establishment, exercise, or defense of legal claims.”

(70) According to Article 23(1) of the General Data Protection Regulation: “Union or Member State law applicable to the data controller or processor may restrict the scope of the rights and obligations provided for in Articles 12 to 22 and Article 34, in accordance with the provisions of Article 5, if the restriction respects the essence of the fundamental rights and freedoms and is a necessary and proportionate measure in a democratic society to safeguard:

a) national security;

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b) defense;

c) public safety;

- d) prevention, investigation, detection of crimes, or conducting criminal proceedings, as well as the enforcement of criminal sanctions, including protection against threats to public safety and the prevention of such threats;
- e) other important, general public interest objectives of the Union or any Member State, particularly the important economic or financial interests of the Union or any Member State, including monetary, budgetary, and tax issues, public health, and social security;
- f) protection of judicial independence and court proceedings;
- g) prevention, investigation, detection of ethical violations in regulated professions and conducting related procedures;
- h) in cases mentioned in points a)–e) and g) – whether on a case-by-case basis – activities related to the performance of public authority tasks, including monitoring, investigation, or regulatory activities;
- i) protection of the data subject or the rights and freedoms of others;
- j) enforcement of civil law claims.

(71) According to Article 58(2) of the General Data Protection Regulation: “In exercising its corrective powers, the supervisory authority:

- a) warns the data controller or processor that certain planned data processing activities are likely to infringe the provisions of this Regulation;
- b) reprimands the data controller or processor if their data processing activities have infringed the provisions of this Regulation;
- c) instructs the data controller or processor to comply with a request from the data subject to exercise their rights under this Regulation;
- d) instructs the data controller or processor to bring their data processing operations into compliance with the provisions of this Regulation – in a specified manner and within a specified time frame, where applicable;
- e) instructs the data controller to inform the data subject of a personal data breach;
- f) temporarily or permanently restricts processing, including prohibiting processing;
- g) orders the rectification or erasure of personal data, or the restriction of processing in accordance with Articles 16, 17, and 18, and orders the notification of recipients to whom the personal data have been disclosed, in accordance with Article 17(2) and Article 19;
- h) withdraws a certification or instructs the certification body to withdraw a certification issued in accordance with Articles 42 and 43, or instructs the certification body not to issue a certification if the conditions for certification are not or are no longer met;
- i) imposes an administrative fine in accordance with Article 83, depending on the circumstances of the case, in addition to or instead of the measures mentioned in this paragraph; and
- j) orders the suspension of data flows to a third country or an international organization.”

(72) According to Section 71(1) and (2) of the Infotv.: “In the course of its proceedings, the Authority may process all personal data, as well as data classified as protected secrets by law and data related to the exercise of a profession, to the extent and for the duration necessary for conducting the proceedings, which are related to the proceedings or whose processing is necessary for the successful conduct of the proceedings. The Authority may use documents, data, or other evidence lawfully obtained in its proceedings in other proceedings.”

(73) According to Section 154(2) of the Eht.: “If applicable to the given subscriber, the provider shall provide data at the request of a court, prosecutor's office, investigative authority, preparatory authority, administrative authority, and national security service as defined by law, for the performance of their tasks, in response to their request for data provision.”

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for the purpose of managing the following data necessary for the identification of the subscriber in the context of providing subscriber services:

- a) the subscriber's name, place of residence, temporary residence, or registered office;
- b) the subscriber's billing address, bank account number;
- c) the subscriber's birth name, place and date of birth, mother's birth name;

- d) the representative's data according to points a)-c);
- e) the subscriber's company registration number or other registration number;
- f) the type and number of the official identification document suitable for verifying the subscriber's identity;
- g) the number of the official document verifying the subscriber's address.

****(74)**** According to Section 157 (2) of the Eht.: "The electronic communications service provider manages the following data generated in connection with billing to the subscriber and the collection of related fees, as well as monitoring subscriber contracts - to the extent that it is interpretable for the given subscriber - for the purpose of providing data at the request of a court, prosecutor's office, investigative authority, body conducting preparatory proceedings, administrative authority, and national security service, as defined by law:

- a) the data specified in Section 154 (2) points a)-e);
- b) the subscriber station number or other identifier;
- c) the address of the subscriber access point and the type of station;
- d) the total number of units that can be accounted for during the billing period;
- e) the calling and called subscriber numbers;
- f) the type, direction, start time, and duration of the call or other service, as well as the volume of transmitted data, for mobile radio telephone services the network and cell providing the service, and the unique identifier (IMEI) of the device used when accessing the service, and identifiers used in IP networks;
- g) the date of the call or other service;
- h) data related to payment and outstanding fees;
- i) events of termination of the subscriber contract in case of outstanding debt;
- j) for telephone services, data regarding other non-electronic communications services that can be utilized by subscribers and users, particularly regarding billing;
- k) data generated in the provider's electronic communications network regarding the use or attempted use of subscriber terminal equipment unlawfully applied for the use of subscriber services - particularly those blocked by the owner."

****(75)**** According to Section 11 of the ESzr.: "The individual subscriber contract must contain at least the following:

- a) in the subscriber data section
 - aa) the data according to Section 154 (2) of the Eht.;
 - ab) the contact details provided by the subscriber for communication and notification;
 - b) statements that can be clearly determined by the subscriber regarding the specific service, yes or no declarations, particularly
 - ba) regarding the provision of location data other than traffic data;
 - bb) regarding the processing of personal data for the purpose of selling and acquiring electronic communications services;
 - bc) regarding the request for a detailed invoice attachment or call detail;
 - bd) regarding the subscriber directory;
 - be) for individual subscribers, regarding individual subscriber status;
 - bf) regarding micro, small business, and public benefit status;
 - bg) regarding consent according to Section 4 (1); and
 - bh) regarding acceptance of notifications contained in electronic documents or electronic mail."

****(76)**** According to Section 169 (2) of the Accounting Act: "The accounting document supporting the bookkeeping directly and indirectly (including general ledger accounts, analytical,

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and detailed records), must be kept in a readable format for at least 8 years, in a retrievable manner based on references to accounting records.

IV. Decision

(77) According to the definitions in the General Data Protection Regulation, the Applicant's phone

number and email address are considered personal data, and any operation performed on personal data, such as storage and use, qualifies as data processing.

(78) In this case, on October 9, 2018, the Applicant requested the deletion of their phone number and email address from the Respondent via electronic mail, and subsequently modified their request to state that they do not wish for these data to be deleted, but rather consented to the processing of their email address and phone number on a case-by-case basis, provided that these are made available to the Respondent concerning a specific matter, solely until the conclusion of that matter.

(79) The Applicant did not receive a response regarding the processing of personal data from the Respondent to their electronic mail sent on October 9, 2018, therefore, based on the electronic mail sent on October 26, 2018, the Applicant also requested information from the Respondent regarding the processing of their personal data.

(80) In response to the Applicant's electronic mail sent on October 26, 2018, the Respondent informed the Applicant in a letter dated November 15, 2018, that they process the Applicant's personal data based on the provisions outlined in point 3 of Annex 7 of the General Terms and Conditions, which includes the legal basis, purpose, and duration of data processing. According to the letter, the Respondent has the option to delete the personal data processed based on the Applicant's consent, such as consent for direct marketing and directory inquiries. The Respondent's letter states that they are unable to delete the Applicant's personal data processed on a different legal basis.

(81) The Applicant requested the Authority to compel the Respondent to provide appropriate information regarding the personal data recorded about them and information related to the data processing. The Applicant also requested that the Authority instruct the Respondent to handle the Applicant's phone number and email address in a limited manner, solely for the purposes of electronic invoicing and communication related to troubleshooting, while deleting these personal data from other records.

IV.1. Deletion and Limited Processing of the Applicant's Phone Number and Email Address

(82) According to the Respondent's statement, they provide fixed (landline) telephone, internet access, and broadcasting (television) services to the Applicant, in connection with which the Respondent processes the following personal data: the subscriber's name, residence, place of stay, billing address, if necessary, bank account number, the subscriber's birth name, place and date of birth, mother's birth name, contact details suitable for communication and notification (postal address, phone number, email address); data related to the subscriber's access point; the requested subscriber service, the selected package(s), additional service package(s), options; the selected payment method; the duration of the subscriber contract; the place and date of the request; other requests of the applicant concerning the establishment; the type and number of identification documents suitable for identification; the subscriber's customer identification number (MT ID) assigned by the service provider and the existing subscriber account number with the provider.

(83) The purpose of processing these personal data is to create, define, and modify the contract for electronic communications services.

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marked it. The legal basis for data processing is Article 6(1)(b) of the General Data Protection Regulation, in consideration of Section 154(2) of the Act on Electronic Communications and Section 11 of the Data Protection Act.

(84) The further purpose of processing these personal data is to fulfill the contract for electronic communications services, to provide services, to monitor the fulfillment of the contract, and to invoice fees arising from the contract. Its legal basis is also Article 6(1)(b) of the General Data Protection Regulation, in consideration of Section 157(2) of the Act on Electronic Communications and Section 11 of the Data Protection Act.

(85) Furthermore, these personal data are processed by the Respondent for the purpose of fulfilling accounting and tax obligations based on Section 169(2) of the Accounting Act.

(86) These legal provisions prescribe the processing of personal data by service providers, in this case, the Respondent, which can be considered objectively necessary for the establishment, fulfillment, modification of the subscriber contract, and the execution of related billing and accounting tasks – in connection with the data processing purposes prescribed by law and declared by the Respondent. Consequently, the legal basis for these data processing activities is the so-called contractual basis under Article 6(1)(b) of the General Data Protection Regulation, and the Respondent lawfully processed and is processing, for these purposes, the Applicant's phone number and email address, among others. For the above purpose, the Applicant cannot request the deletion of their personal data during the existence of the contract, and they have refrained from doing so during the proceedings.

(87) At the same time, the Applicant objected that the Respondent sent marketing inquiries via email and payment reminders via SMS during the time of the submission of the data protection authority procedure and during the proceedings (for example: July 7, 2022: advertisement SMS with the subject "This summer you will find a new experience every day [...]"; August 1, 2022: advertisement SMS with the subject "Renew your home services!"; August 12, 2022: advertisement SMS with the subject "A dream trip worth 1 million HUF? Play with us and win the grand prize, or other valuable prizes (projector, scooter, smartwatch, speaker) or experiences (hot air balloon, wellness weekend, cooking experience, etc.)!"; payment reminders sent via SMS on September 4, 2018, May 27, 2019, and October 30, 2020).

(88) The Authority's position is that the sending of payment reminders via SMS is related to the fulfillment of the contract, considering that the fee for the service is the counter-performance for the provision of the service, thus the Respondent had a proper legal basis for the processing – utilization – of the phone number for this purpose under Article 6(1)(b) of the General Data Protection Regulation.

(89) In relation to marketing content messages, the Authority considers the legal basis for data processing to be either the consent of the data subject under Article 6(1)(a) of the General Data Protection Regulation or the legitimate interest legal basis under Article 6(1)(f).

(90) In the case of referring to the legal basis of consent, the following fundamental requirements can be established according to the definition of consent under the General Data Protection Regulation:

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The consent must be based on appropriate information. Appropriate information is that through which data subjects become aware of the data processing concerning their personal data, and through the information, the right to informational self-determination can be exercised: the data processing can be lawful if the circumstances are fully known to the data subjects. The requirement for prior information of the data subject is detailed in Articles 13-14 of the General Data Protection Regulation.

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One of the most important components of the validity of consent is the voluntariness of the will of the data subject, free from external influence, which is realized when...

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... if a genuine choice is available to the data subject. If the consequences of the consent undermine the individual's freedom of choice, the consent is not considered voluntary.

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The requirement for the expression of the data subject's will through a specific, clear declaration or an unequivocal act means, on the one hand, that the consent must be an active behavior; the failure to engage in an active behavior [for example, not unchecking a checkbox] is not considered a definite and unequivocal consent. On the other hand, clear and explicit consent is also purpose-specific consent: it is considered consent given for a specific, concrete data processing purpose. As a general rule, the data cannot be used for other data processing purposes.

(91) In the case of data processing based on consent – taking into account Article 7(3) of the General Data Protection Regulation – it must be ensured that the data subject can withdraw their consent at any time, and in this regard, they are also entitled – considering Article 17(1)(b) of the General Data

Protection Regulation – to have the data controller delete their personal data without undue delay.

(92) When referring to the legitimate interest legal basis, personal data may be processed if the processing is necessary for the legitimate interests pursued by the data controller, except where such interests are overridden by the interests or fundamental rights and freedoms of the data subject which require the protection of personal data. The legitimate interest must indeed exist and be real.

(93) It is essential that the data controller must conduct a balancing test to refer to this legal basis. The balancing test involves a multi-step process during which the legitimate interest of the data controller must be identified, as well as the counterbalancing interest of the data subject, and the fundamental right at stake, and finally, based on the balancing, it must be determined whether personal data can be processed. If the outcome of the balancing test indicates that the legitimate interest of the data controller outweighs the data subjects' right to the protection of personal data, then the personal data can be processed.

(94) In the case of data processing based on legitimate interest, according to Article 17(1)(c) of the General Data Protection Regulation, the data controller is obliged to delete the personal data of the data subject if the data subject – based on Article 21(1) of the General Data Protection Regulation – objects to the processing, and there are no overriding legitimate grounds for the processing, or the data subject – based on Article 21(2) – objects to the processing of personal data for direct marketing purposes.

(95) In this case, the Applicant complained that in connection with the contract, the Respondent used their phone number and email address for other purposes, namely that they received electronic messages containing direct marketing. The Applicant raised this objection in their request dated October 9, 2018, and in this request, they asked the Respondent to process only the personal data minimally necessary for the provision of the service (name, address), while immediately deleting any other recorded data, and to only consent to the processing of their personal data (email address, phone number) on a case-by-case basis, provided that they provide such data to the Respondent in relation to the specific matter, solely until the conclusion of that matter.

2 The Data Protection Working Group's opinion No. 6/2014 on the concept of legitimate interests of the data controller under Article 7 of Directive 95/46/EC provides assistance in conducting the balancing test. The opinion is available at the following link: https://ec.europa.eu/justice/article-29/documentation/opinion-recommendation/files/2014/wp217_hu.pdf

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(96) The Applicant did not receive a response to the part of their electronic letter sent on October 9, 2018, concerning the processing of personal data; therefore, based on the electronic letter sent on October 26, 2018, they requested information from the Respondent regarding the processing of their personal data, along with a (repeated) request for deletion. In response to this letter, the Respondent informed the Applicant in a letter dated November 15, 2018, that they process the Applicant's personal data based on the provisions outlined in point 3 of Annex 7 of the General Terms and Conditions. According to the letter, the Respondent has the option to delete the personal data processed with the Applicant's consent, such as consent for direct marketing and directory inquiries. The Respondent's letter stated that they are unable to delete personal data processed on a different legal basis.

(97) According to the Respondent's statement, based on the data recorded in their records, the Applicant did not change their declarations regarding the possibility of being contacted by the Respondent, nor did they unsubscribe from the list of recipients of direct marketing messages; therefore, they could receive messages containing direct marketing content via SMS and email, as well as payment reminders via SMS.

(98) The Respondent also provided several subscriber contracts and declarations addressed to the Applicant (dated April 13, 2017, September 3, 2020, August 30, 2021, August 30, 2022), which indicate that the Applicant consented to the processing of their personal data—such as their email address and phone number—for direct business acquisition purposes. According to the subscriber contract dated April 13, 2017, the Applicant did not consent to the publication of their personal data in

directory inquiries and the telephone book, and in this regard, requested the encryption of their data.

(99) The General Data Protection Regulation regulates the right to erasure among the rights of data subjects. According to this, under Article 17(1) of the General Data Protection Regulation, the data subject has the right to request the erasure of personal data concerning them without undue delay, and the data controller is obliged to erase personal data concerning the data subject without undue delay.

(100) The manner of providing information regarding the erasure of personal data is detailed in Article 12 of the General Data Protection Regulation. According to this, the information must be provided in a concise, transparent, intelligible, and easily accessible form, using clear and plain language. The information must be provided in writing or by other means.

(101) According to Article 12(3) of the General Data Protection Regulation, the data controller must provide information about the measures taken in response to a request for the erasure of personal data without undue delay, but in any case within one month of the receipt of the request. If necessary, this deadline may be extended by a further two months, and the data controller must inform the data subject of the extension and the reasons for the delay within one month of receiving the request.

(102) According to Article 12(5) of the General Data Protection Regulation, requests related to the rights of data subjects, including actions taken in response to a request for the erasure of personal data and information about those actions, must generally be provided free of charge. If the request from the data subject is clearly unfounded or, particularly due to its repetitive nature, excessive, the data controller may charge a reasonable fee based on the administrative costs of providing the requested information or taking the requested action, or may refuse to act on the request. However, the burden of proving that the request is clearly unfounded or excessive lies with the data controller.

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(103) Article 17(3) of the General Data Protection Regulation regulates the cases in which the rules regarding the deletion of personal data – Articles 17(1)-(2) of the General Data Protection Regulation – do not apply.

(104) Article 23(1) of the General Data Protection Regulation further specifies the special cases in which the rights of the data subjects, including the right to deletion, may be restricted.

(105) The Authority, upon reviewing the data subject request submitted by the Applicant on October 9, 2018, finds that by requesting the Respondent to process only the personal data minimally necessary for the provision of services (name, address), while requesting the immediate deletion of other recorded data, it cannot be clearly inferred which specific personal data the Applicant wished to have deleted from which records, nor that the Applicant did not wish to receive further direct marketing communications, or that they requested the deletion of their data from the direct marketing registry.

(106) The Applicant complained that they did not receive a response to their request dated October 9, 2018, and therefore submitted another request to the Respondent on October 26, 2018, supplemented with an access request. The Respondent replied to this letter on November 15, 2018. In the Authority's view, the Respondent provided information to the Applicant regarding the data subject request within the deadline, within one month, and informed the Applicant regarding the deletion of personal data that they could request to be deleted based on their consent, such as consent for direct marketing, as well as directory and inquiry data processing. According to the Respondent's letter, the deletion of personal data processed on a basis other than this consent is not possible. Therefore, the Respondent did not violate Article 12(3) of the General Data Protection Regulation regarding the deadline for responding.

(107) The Authority believes that the content of the Respondent's response did not violate Article 12(3) of the General Data Protection Regulation, considering that the Respondent took action based on the data subject request and informed the Applicant about which personal data they could request to be deleted regarding the deletion request. Following this information, the Applicant would have had the opportunity to clarify their request for the deletion of personal data, which they did not do.

(108) Consequently, the Respondent acted lawfully regarding the Applicant's deletion request, and due

to its lack of clarity, provided appropriate information about the fulfillment of the deletion request and its conditions. The Respondent did not violate point b) of Article 17(1) of the General Data Protection Regulation.

(109) Following the deletion requests dated October 9 and 26, based on subscriber contracts and declarations in the name of the Applicant dated September 3, 2020, August 30, 2021, and August 30, 2022, it can be established that the Respondent processes the Applicant's email address and phone number for direct marketing purposes based on the Applicant's consent.

(110) Consequently – in the absence of contrary evidence – the Authority establishes that the Respondent lawfully sent direct marketing electronic messages to the Applicant based on the subscriber contracts and declarations dated September 3, 2020, August 30, 2021, and August 30, 2022, and therefore, by sending these messages during this period, the Respondent did not commit a legal violation and did not unlawfully use the Applicant's phone number and email address for marketing purposes.

(111) At the same time, according to the Respondent's statement, in light of the present procedure, as of September 28, 2022, the Applicant has set their direct marketing declarations to negative in all respects, and for this purpose, the Respondent does not use the Applicant's phone number and email address.

****IV.2. The Applicant's Access Request****

(112) In response to the access request sent by the Applicant on October 26, 2018, the Respondent informed the Applicant about the processing of their personal data in a letter dated November 15, 2018, referring to the Respondent's General Terms and Conditions (GTC).

(113) According to the Respondent's statement, the reason for informing the Applicant by referring to the GTC was that the Applicant demonstrated thorough and extensive legal knowledge in relation to both the data protection matter and the numerous other complaints and claims they made—citing specific legal provisions and relevant provisions of the Respondent's GTC in an understandable manner in their documents. Therefore, in the Respondent's opinion, the information provided in this manner did not prevent the Applicant from actually becoming aware of the relevant information and was suitable to place the Applicant in an adequately informed position regarding the processing of their personal data.

(114) The General Data Protection Regulation (GDPR) regulates the right of access among the rights of data subjects. According to Article 15(1) of the GDPR, the data subject is entitled to receive feedback from the data controller regarding whether their personal data is being processed, and if such processing is ongoing, they are entitled to access their personal data and information regarding the processing.

(115) The manner of providing information regarding data processing obligations is detailed in Article 12 of the GDPR. Accordingly, information about personal data must be provided in a concise, transparent, intelligible, and easily accessible form, using clear and plain language. The information must be provided in writing or by other means.

(116) Furthermore, according to Article 15(3) of the GDPR, the data controller shall provide a copy of the personal data undergoing processing to the data subject. For any further copies requested by the data subject, the data controller may charge a reasonable fee based on administrative costs. If the request is submitted electronically, the information must be provided in a commonly used electronic format, unless the data subject requests otherwise.

(117) According to Article 15(4) of the GDPR, the right to request a copy shall not adversely affect the rights and freedoms of others.

(118) Based on Article 12(3) of the GDPR, the data controller is obliged to provide information on the actions taken in response to a request for access to personal data without undue delay, and in any case within one month of receiving the request. If necessary, this period may be extended by a further

two months, and the data controller must inform the data subject of the extension and the reasons for the delay within one month of receiving the request.

(119) According to Article 12(5) of the GDPR, requests related to the rights of data subjects, including actions taken in response to a request for access to personal data and information about such actions, must generally be provided free of charge. If the request from the data subject is clearly unfounded or, in particular due to its repetitive nature, excessive, the data controller may charge a reasonable fee based on the administrative costs of providing the requested information or taking the requested action.

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or may refuse to take action based on the request. However, the burden of proving that the request is clearly unfounded or excessive lies with the data controller.

(120) Article 23(1) of the General Data Protection Regulation further defines the specific cases in which the rights of the data subjects, such as the right of access, may be restricted.

(121) The Authority's position regarding the fulfillment of the Applicant's access request by the Respondent is that the essence of the entitlement under Article 15 of the General Data Protection Regulation is that the data subject can receive information related to the data processing, and through the information received, they are enabled to monitor the ongoing activities of the data controller, exercise the rights granted to them, and seek remedies.

(122) The information to be provided within the framework of access can fundamentally be categorized into three content-related categories: the fact of data processing, the personal data actually processed by the data controller, and the essential circumstances of the data processing. The distinction between the information to be provided for preliminary inquiry and the exercise of the right of access lies in the first two categories, which can only be interpreted in relation to ongoing data processing and not before the commencement of data processing.

(123) Therefore, based on the right of access, the data controller must provide information on whether it specifically processes the personal data of the data subject, and if so, which data, for what purpose(s), and all other information as stipulated in Article 15(1) of the General Data Protection Regulation must also be made available to the data subject.

(124) In the present case, contrary to this, the Respondent fulfilled the Applicant's access request by referring to the General Terms and Conditions (GTC), indicating that the Applicant can find the characteristics of the data processing therein, and accordingly, the Respondent processes the Applicant's personal data. The reason for this mode of information was that, in the Respondent's view, the Applicant possesses knowledge that allows them to receive all necessary information through such notification.

(125) However, Article 15(1) of the General Data Protection Regulation states that the data subject is entitled to access the information specified therein concerning the specific data processing that affects them. The Respondent should have provided precise information tailored to the Applicant, indicating specifically which personal data of the Applicant it processes, for what purpose(s), on what legal basis(es), for how long, to which recipient(s) it transfers which personal data, for what purpose(s) and legal basis(es), and from which source(s) the Respondent obtained the Applicant's personal data if it did not collect it from them. In addition, personalized information should have been provided regarding all other information as per Article 15 of the General Data Protection Regulation.

(126) Article 15(1) of the General Data Protection Regulation clearly defines what information the data subject is entitled to access.

(127) Providing information by referring to the GTC can actually be equated to preliminary information. This right is intended, on the one hand, to make data subjects aware that the data controller intends to process personal data concerning them. On the other hand, through the information provided, data subjects can assess what impact the planned data processing may have on their privacy, as well as what other risks and dangers it may entail. Finally, individuals become capable of exercising their right

to informational self-determination through the information received.

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(128) The right of data subjects to access is a constitutive element of the right to informational self-determination and, as such, is one of the most important aspects of the fundamental right to the protection of personal data. The essence of this entitlement is that the data subject can receive information regarding the specific data processing related to them. Through the information obtained, they become capable of monitoring the ongoing activities of the data controller, exercising the rights granted to them, and seeking legal remedies.

(129) There is agreement that the right to access also serves the traceability of operations performed on personal data. Data controllers are obliged to ensure transparency not only before the commencement of data processing but throughout its entire duration. The function of transparency, however, transforms in the case of ongoing operations compared to prior information: it aims not only at raising awareness of data processing but becomes the most effective tool for the data subject to monitor the data processing.

(130) Based on all of the above, the Authority establishes that the Respondent, although responding to the Applicant within the deadline, did not adequately fulfill the access request, thereby violating Article 15(1) of the General Data Protection Regulation.

(131) In addition to establishing the violation, the Authority instructs the Respondent to provide appropriate personalized information to the Applicant regarding all information as per Article 15(1) of the General Data Protection Regulation.

V. Legal Consequences

(132) The Authority, in light of the statements made in point IV of this decision, establishes based on Article 58(2)(b) of the General Data Protection Regulation that the Respondent violated Article 15(1) of the General Data Protection Regulation by not providing adequate information in response to the access request submitted by the Applicant regarding their personal data.

(133) Due to the violation of Article 15(1) of the General Data Protection Regulation, the Authority instructs the Respondent, based on Article 58(2)(c) of the General Data Protection Regulation, to fulfill the Applicant's access request in accordance with Article 15 of the General Data Protection Regulation and to provide proof of compliance to the Authority.

(134) The Authority has ex officio examined whether it is justified to impose a data protection fine on the Respondent. In this regard, the Authority considered all circumstances of the case based on Article 83(2) of the General Data Protection Regulation and Section 75/A of the Information Act and established that in the case of the violations uncovered during this procedure, a warning would neither be proportionate nor have a deterrent effect, therefore imposing a fine is necessary.

(135) In determining the amount of the fine, the Authority primarily took into account that the violations committed by the Respondent qualify as a violation falling into the higher fine category according to Article 83(5)(b) of the General Data Protection Regulation.

(136) In determining the amount of the data protection fine, the Authority considered as an aggravating circumstance that

- the main activity of the Respondent necessarily involves the mass processing of personal data, therefore, in the Authority's view, it is of outstanding importance that the Respondent processes personal data in accordance with the provisions of the General Data Protection Regulation and facilitates the exercise of rights by data subjects [Article 83(2)(d) of the General Data Protection Regulation];

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- The Authority has already found the Applicant liable on three occasions for the data protection violations committed by it – violations of the rights of the data subjects (breach of the right of access under Article 15 of the General Data Protection Regulation, breach of the right to rectification under Article 16, and breach of the right to erasure under Article 17 – (NAIH/2020/4542/4., NAIH-402-4/2021,

and NAIH-924-10/2021 case numbers) [General Data Protection Regulation Article 83(2)(e) and (i)].

(137) In determining the amount of the data protection fine, the Authority considered the following mitigating circumstances:

- the contested data protection violations can be attributed to the negligent behavior of the Applicant [General Data Protection Regulation Article 83(2)(b)];
- as a result of the Authority's proceedings, the Applicant set the direct marketing statements to negative in all respects effective September 28, 2022, and for this purpose does not use the Applicant's phone number and email address [General Data Protection Regulation Article 83(2)(f)];
- the personal data involved in the violation do not belong to the special categories of personal data [General Data Protection Regulation Article 83(2)(g)];
- the Authority exceeded the administrative deadline [General Data Protection Regulation Article 83(2)(k)];
- the Applicant frequently filed complaints against the Applicant, and their requests changed and were not always clear (requests for erasure, access requests, complaints related to the Applicant's service) [General Data Protection Regulation Article 83(2)(k)].

(138) In determining the data protection fine imposed on the Applicant, the Authority did not consider the circumstances under General Data Protection Regulation Article 83(2)(a), (c), (h), and (j) to be relevant, as they cannot be interpreted in the context of the specific case.

(139) The Authority took into account that, based on publicly available company information, the Applicant's revenue for 2022 was approximately 593,000,000 HUF.

VI. Other Issues

The Authority's jurisdiction is defined by Section 38(2) and (2a) of the Infotv., and its competence extends to the entire territory of the country.

(140) The Authority's decision is based on Sections 80-81 of the Ákr. The decision becomes final upon its communication according to Section 82(1) of the Ákr. According to Section 112 of the Ákr., Section 114(1), and Section 116(1) and (4)(d), there is a right to legal remedy against the decision through administrative litigation.

(141) According to Section 135 of the Ákr., the obligated party must pay a default penalty corresponding to the statutory interest rate if it fails to fulfill its monetary obligation by the deadline.

(142) Pursuant to Section 6:48(1) of Act V of 2013 on the Civil Code, in the case of a monetary debt, the obligated party must pay default interest at the rate equal to the central bank base rate valid on the first day of the calendar half-year affected by the delay, starting from the date of default.

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(143) The rules of administrative litigation are defined by Act I of 2017 on the Code of Administrative Litigation (hereinafter: Kp.). According to Section 12(1) of the Kp., administrative litigation against the Authority's decision falls under the jurisdiction of the court, and based on Section 13(3)(a)(aa) of the Kp., the Metropolitan Court is exclusively competent for the case. According to Section 27(1)(b) of the Kp., in a dispute where the court is exclusively competent, legal representation is mandatory. According to Section 39(6) of the Kp., the submission of the statement of claim does not have a suspensive effect on the enforcement of the administrative act.

(144) Section 29(1) of the Kp. and, in this regard, Section 604 of Act CXXX of 2016 on the Civil Procedure Code apply, and according to Section 9(1)(b) of Act CCXXII of 2015 on the General Rules of Electronic Administration and Trust Services, the client's legal representative is obliged to communicate electronically.

(145) The time and place for submitting the statement of claim are determined by Section 39(1) of the Kp. Information regarding the possibility of requesting a hearing is based on Sections 77(1)-(2) of the Kp.

(146) The amount of the administrative litigation fee is determined by Section 45/A(1) of Act XCIII of

1990 on Fees (hereinafter: Itv.). The Itv. Section 59(1) and Section 62(1)(h) exempt the initiating party from the prior payment of the fee.

(147) If the Applicant does not properly prove the fulfillment of the prescribed obligation, the Authority will consider that it has not fulfilled its obligation by the deadline. According to Section 132 of the Ákr., if the Applicant has not complied with the obligations set out in the Authority's final decision, it is enforceable. The Authority's decision becomes final upon communication according to Section 82(1) of the Ákr. According to Section 133 of the Ákr., the enforcement – unless otherwise provided by law or government decree – is ordered by the authority that made the decision. According to Section 134 of the Ákr., the enforcement – unless otherwise provided by law, government decree, or a local government regulation in a matter of local government authority – is carried out by the state tax authority. According to Section 61(7) of the Infotv., regarding the obligation to perform a specific action, to behave in a certain way, to tolerate, or to cease a specific behavior as stated in the Authority's decision, the enforcement of the decision is carried out by the Authority.

(148) The Authority exceeded the one hundred and fifty-day administrative deadline set out in Section 60/A(1) of the Infotv. during the proceedings; therefore, based on Section 51(b) of the Ákr., it will pay ten thousand HUF to the Applicant – at their choice – by bank transfer or postal order.

Dated: Budapest, June 26, 2023.

Dr. habil. Attila Péterfalvi

President

Professor Emeritus